

EVG1004 - Robert & Linda Castellano - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer	Robert A. Castellano (XXX-XX-2847), age 67
Spouse	Linda M. Castellano (XXX-XX-6135), age 64
Address	5127 Bayou Heron Ln, Sarasota, FL 34231
Filing status	Married filing jointly
Age 65+ boxes	Robert - checked; Linda (born 03/22/1961) - NOT checked
Digital assets question	No
Forms included	1040; Sch 1-A, 3, B (Part III), D; Form 1116 (general category)
Other filings	FinCEN 114 (FBAR) - Linda - BSA E-Filing 03/27/2026
State	None - Florida has no individual income tax
Filing method	E-file (8879 signed 03/25/2026); direct deposit Truist ****3380

Key figures	Amount
Total income (1040 line 9)	115,341
Adjusted gross income (line 11)	115,341
Deduction (line 12e) - Standard	33,100
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	6,000
Taxable income (line 15)	76,241
Total tax (line 24)	6,767
Total payments (line 33)	11,810
REFUND (line 35a)	5,043

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	0
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	0
2a	Tax-exempt interest	3,115
2b	Taxable interest	3,938
3a	Qualified dividends	5,208
3b	Ordinary dividends	6,184
4a	IRA distributions	30,000
4b	IRA distributions - taxable amount	30,000
5a	Pensions and annuities	41,767
5b	Pensions and annuities - taxable amount	41,767
6a	Social security benefits	38,400
6b	Social security benefits - taxable amount	32,640
7	Capital gain or (loss) (Schedule D)	812
8	Additional income from Schedule 1, line 10	0
9	Total income	115,341
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	115,341
12e	Standard deduction or itemized deductions (Standard)	33,100
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	6,000
14	Add lines 12e, 13a, and 13b	39,100
15	Taxable income	76,241
16	Tax	7,950
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	7,950
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	1,183
21	Add lines 19 and 20	1,183
22	Subtract line 21 from line 18	6,767
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	6,767
25a	Federal income tax withheld - Form(s) W-2	0
25b	Federal income tax withheld - Form(s) 1099	4,660
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	4,660
26	2025 estimated tax payments and amount applied from 2024 return	7,150
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	11,810
34	Amount overpaid	5,043
35a	Refund	5,043
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Charles Schwab ****3307 - interest (corporate bonds / sweep)	2,431
1.2	Charles Schwab ****3307 - U.S. Treasury interest	1,862
1.3	Royal Bank of Canada ****4471 (CAD 42.18 @ 1.398) - foreign	30
1.4	Accrued interest paid on purchase - Home Depot 4.90% 2029 (Schwab)	(386)
2	Total interest	3,938
4	Taxable interest (to Form 1040, line 2b)	3,938
5.1	Charles Schwab ****3307	6,184
6	Ordinary dividends (to Form 1040, line 3b)	6,184
7a	Foreign financial account at any time in 2025? / FBAR required?	Yes / Yes
7b	Country	Canada
8	Grantor of / transferor to a foreign trust?	No

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
13	Capital gain distributions	812
15	Net long-term capital gain or (loss)	812
16	Combine lines 7 and 15	812

Schedule 1-A

Line	Description	Amount
Part I	Modified AGI	115,341
Part V	Enhanced deduction for seniors (1 x max(0, 6,000 - 6% x excess MAGI 0))	6,000
38	Total additional deductions (to Form 1040, line 13b)	6,000

Form 1116

Line	Description	Amount
summary	Category: general (pension); foreign taxes 2,575; foreign-source TI 11,348; limitation 1,183	1,183

Schedule 3

Line	Description	Amount
1	Foreign tax credit	1,183
8	Total nonrefundable credits (to Form 1040, line 20)	1,183

Social Security benefits worksheet

Social Security Benefits Worksheet (MFJ)	Amount
1 Box 5 of SSA-1099 (Robert)	38,400
2 50% of line 1	19,200
3 Lines 1z, 2b, 3b, 4b, 5b (incl. Canadian pension), 7, 8	82,701
4 Tax-exempt interest (line 2a)	3,115
5 Provisional income (2 + 3 + 4)	105,016
8 Base amount (MFJ)	32,000
10 Additional amount	12,000
18 Taxable social security (85% maximum reached)	32,640

Standard vs itemized comparison (Schedule A not filed)

Itemized vs standard	Amount
Medical: Medicare B \$2,220 + D \$462 (SSA-1099) + retiree premium \$3,960 + dental/Rx/eyewear/copays \$3,195	9,837
Less 7.5% of AGI	(8,651)
Deductible medical	1,186
Real estate tax (SALT cap \$40,000 not reached)	5,840
Charitable: envelopes \$2,600 + \$8,000 IRA check (not a QCD)	10,600
Total itemized	17,626
Standard deduction MFJ \$31,500 + \$1,600 (Robert 65+; Linda 64 - no)	33,100
Senior deduction (Robert only) - allowed with either	6,000
Use	Standard

Form 1116 detail (general category)

Form 1116 - General category income (Canada)	Amount
1a Gross foreign-source income: NR-4 pension CAD 24,000 / 1.398	17,167
3a Standard deduction + senior deduction (not definitely related)	39,100
3d/3e Gross foreign income / gross income all sources (line 9)	17,167 / 115,341
6 Apportioned deductions	5,820
7 Net foreign-source taxable income	11,348
8 Foreign taxes paid: CAD 3,600 / 1.398 (15% treaty rate; paid basis)	2,575
10 Carryover from prior years (2023-2024)	2,468
18 Worldwide taxable income (adjustment exception - no foreign QD/CG)	76,241
20 US tax (1040 line 16)	7,950
21 Limitation = line 20 x line 17 / line 18	1,183

Form 1116 - General category income (Canada)	Amount
24 Foreign tax credit (to Schedule 3 line 1)	1,183
Carryforward to 2026 (general category): 2023 \$1,210 + 2024 \$1,258 + 2025 1,392	3,860

Schedule B Part III / FBAR summary

Schedule B Part III	Answer
7a Financial interest in / signature authority over a foreign account?	Yes
7a Required to file FinCEN Form 114?	Yes
7b Country	Canada
8 Foreign trust	No
Financial institution	Royal Bank of Canada, 1505 Barrington St, Halifax NS (chequing ****4471), sole owner
Maximum value (CAD)	37,912.44 (06/27/2025)
Rate: Treasury Reporting Rates of Exchange 12/31/2025 (Canada-Dollar) - assumed	1.371
Maximum value (USD)	27,653
Aggregate > \$10,000 -> FBAR required	Yes
Due 04/15/2026 (automatic extension to 10/15/2026) - BSA E-Filing	Filed 03/27/2026
Form 8938 (MFJ, US residents: > \$100,000 year-end / \$150,000 any time)	Not required

Foreign currency translation

Item	CAD	Rate	USD
NR-4 gross pension (IRS 2025 yearly average)	24,000	1.398	17,167
NR-4 tax withheld	3,600	1.398	2,575
RBC interest	42	1.398	30
RBC max balance (FBAR - Treasury 12/31 rate, assumed)	37,912	1.371	27,653